Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Elizabeth D. Arangio

Case 19-G-0309
Case 19-G-0310

September 18, 2019

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I. Introduction

Q. Please state your name and business address

A. My name is Elizabeth D. Arangio. My business address is 40 Sylvan Road, Waltham, Massachusetts 02451.

Q. Are you the same Elizabeth D. Arangio who previously submitted direct, supplemental, and corrections and updates testimony in these proceedings?

A. Yes, I am. The defined terms in my direct testimony have the same definitions here.

II. Purpose of Testimony

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to respond to the gas supply-related recommendations of the Department of Public Service Staff Gas Supply Panel ("SGSP"), City of New York ("CNY") Policy Panel, and Environmental Defense Fund ("EDF") witness Gregory Lander. Specifically, I will address the following topics:

(i) The CNY Policy Panel's comments and recommendations regarding the NESE project and the current gas supply constraint in Downstate New York;

(ii) The SGSP's recommendation regarding the Companies' gas hedging policies; and

(iii) The comments and recommendations of EDF witness Gregory Lander regarding the Companies' gas supply planning process.

III. NESE Project

Q. What is the current status of the NESE project?

A. Since my supplemental direct testimony, both the New York State Department of Environmental Conservation and the New Jersey Department of Environmental Protection have issued a Notice of Complete Application and concluded their respective public comment periods. The Companies continue to await the state agencies' approval of the necessary permits to proceed with the project. Although the Companies continue to remain cautiously optimistic that the NESE project will be approved, because the timing of approval is uncertain, the Companies have adjusted their filings to reflect the unavailability of the NESE project by the 2020-2021 winter season. This does not, however, preclude the possibility the NESE project could be approved and become available. If that occurs, the Company's position is that the Commission should consider the proposals and costs presented in the Company's direct and corrections and updates filings.

Q. Have you updated any exhibits to reflect the unavailability of the NESE project?

A. No. The exhibits submitted in my supplemental direct testimony will not differ meaningfully and provide an illustrative forecast of the gas costs in the Rate Year and Data Years under the assumption that the NESE project is not in service by the 2020-2021 winter season.

Q. The CNY Policy Panel (at 21-22) criticizes the Companies' supply planning process, contending that the Companies should have had an alternative plan in the event the NESE project was not approved and that the failure to do so was imprudent. Do you agree with these criticisms?

A. No, I do not. The CNY Policy Panel cites no analysis or evidence to support its claim aside from a blanket statement that the process must be deficient because the Company cannot serve incremental load absent approval of the NESE project. This criticism ignores the well-documented, comprehensive planning process undertaken by the Company for well over a decade.

In these filings, as well as past filings before the Commission and numerous stakeholder meetings, including the annual gas supply meeting with Staff and other parties, the Companies' detailed their long-term plan aimed at addressing growth in Downstate New York, of which the NESE project has

been a critical part. Since as early as 2009, the Companies planned for the construction of a metering and regulation station at Floyd Bennett Field ("FBF"), which provided 647,000 Dth/day of takeaway capacity. The FBF station, completed in 2015, required an act of Congress to enact the New York City Natural Gas Supply Enhancement Act of 2012. The Companies signed precedent agreements for two upstream projects to bring firm capacity through the FBF station, first through the Northeast Connector project that provided 100,000 Dth/day of capacity, and then the New York Bay Expansion project, providing another 115,000 Dth/day for a total of 215,000 Dth/day of capacity through the FBF station. The NESE project is the final piece that will bring an additional 400,000 Dth/day of pipeline capacity to the Downstate New York area.

At the same time, the Companies have also invested in large on-system projects to support the upstream capacity into the distribution system, including the Brooklyn-Queens Interconnect project and more recently the Metropolitan Reliability Infrastructure project. These capital projects, both upstream and on-system, have been a part of the Companies' system and supply plan and clearly communicated to all stakeholders through the years.

Other than an increased reliance on third-party peaking supply and local CNG stations, the Companies have no viable alternative to the NESE project in terms of traditional pipeline capacity – a fact that the CNY Policy Panel ignores. Furthermore, such stop-gap measures are short-term solutions and will not address the ongoing supply constraint. All other city gate stations are at their maximum capacity, and increased reliance on third party peaking supply creates a reliability risk of not being able to procure sufficient gas. The only other option would be to pursue construction of a new station and upstream pipeline expansion projects, which would not only impose significant costs but also face the same regulatory hurdles that the NESE project is currently experiencing.

Although pipeline capacity cannot be entirely displaced in the near future, the Companies have proposed several ways to reduce reliance on pipeline capacity. As presented by the Future of Heat Panel, the Companies proposed various decarbonization initiatives including renewable natural gas projects and enhanced energy efficiency programs. Furthermore, consistent with the Commission's goals, the Companies developed new non-firm demand response service classifications that will incentivize existing firm customers and new customers to choose interruptible service that will relieve peak day demand. The Companies, however, emphasize that such initiatives and

programs are part of a long-term plan to reduce carbon emission and do not provide a solution for the immediate shortfall of supply.

Q. The CNY Policy Panel recommends (at 22-23) that the Commission require the Companies to file additional testimony addressing how they will operate their systems, without a moratorium, if NESE is not approved. Do you agree?

A. No. The recommendation ignores the extensive record in this case. In these filings, the Companies filed two sets of testimony detailing the system investments required under scenarios where the NESE project is approved or not approved within the timeframe required. The Companies have also responded to numerous discovery requests from the parties to these rate filings, including the CNY, addressing system operation and needs under both scenarios.

Further, while the CNY Policy Panel highlights its proposed alternative demand side programs, it entirely ignores the Company's Future of Heat proposals, which are intended to promote demand side management and increase reliance on non-pipeline alternatives. My direct testimony also highlighted the Companies' efforts to procure indigenous and renewable natural gas. Although such supply and demand side programs are important,

such measures cannot replace the volume of natural gas that the Companies require from pipeline capacity. Said another way, there are currently no alternatives to the NESE project that can provide the same level of natural gas supply to the Companies' distribution system. Any other pipeline projects such as Con Edison's precedent agreement with Tennessee Gas Pipeline, to the extent they are available, will face the same regulatory hurdles as the NESE project. For all these reasons, there is no sound basis for the CNY Policy Panel's recommendation.

Q. The CNY Policy Panel recommends (at 25) that the Commission have Staff investigate the underlying causes of the moratorium, require the Companies to provide notice to customers of any deadlines associated with gas service for those who applied prior to May 15, 2019, and investigate whether the Companies are treating customers fairly through the process. Do you agree?

A. No. The Company has worked with Staff and its consultants for the past several months to support the Commission's ongoing analysis of the current supply constraints in Downstate New York in Case 19-G-0080. Staff's report on the investigation was due to be completed by July 1, 2019, but has been delayed.

Given the Commission's current on-going efforts, the Companies do not believe further investigations are necessary. The Companies have been working closely with Staff and its consultants to support the analysis and provided system models, engineering analyses, growth and demand forecasts, supply data, and other information. The information provided by the Companies demonstrates the extent of the current constraints and the Companies' inability to serve new customers in the absence of incremental supplies. Therefore, the CNY Policy Panel's recommendation is unnecessary and should be rejected.

IV. Hedging

Q. What did the SGSP recommend regarding the Companies' gas hedging policies?

A. The SGSP supported the Companies' recent change in hedging practices to incorporate financially settled Dominion South Point options and favoring up to 100 percent of options for the financial hedge component of the portfolios for the upcoming winter. The SGSP recommended (at 13) that the Companies be required to continue to monitor their hedging strategies on an ongoing basis and to review such changes as this with Staff during the annual winter supply review.

Q. Do you have any comment on the SGSP's recommendation?

A. The Companies acknowledge SGSP's recommendation to continue to monitor the hedging strategies, which is already a part of the Companies' formal hedging program. The Companies also commit to continue their current practice of reviewing any changes to their hedging practices with Staff during the annual winter supply review.

V. Supply Planning Process

Q. Please summarize EDF's recommendations regarding the Companies' current supply planning process.

A. EDF recommends the following:

1. Companies should be subject to an annual gas supply process, with discovery rights for intervenors and technical conferences as needed (at 4).
2. Companies should be required to submit a long-range plan, which would become the basis for evaluating future cost recovery (at 4).
3. Companies should submit additional categories of information to assist the Commission in its review of gas supply issues (at 5).

Q. Do you agree with EDF's recommendations?

A. No. As EDF notes (at 10-11), the Companies perform an annual gas supply review, which includes filing of various data supporting the Companies' long-

term supply plan as well as an in-person meeting with Staff and interested parties. Each year, the review is performed under a new case number and is available to the public. Interested parties can become a party to the proceeding as well as submit comments. The Companies do not believe that a formal evidentiary hearing is necessary to review the Companies' annual supply plan and will unnecessarily add time and cost with no significant incremental benefit.

Contrary to EDF's assertion, the annual winter supply review is a public process – the Companies file responses to Staff's data requests in the public docket, but with certain redactions for commercially sensitive and critical energy infrastructure information. Such redactions are necessary to ensure public safety and the competitive position of the Companies and are provided for exemption from public disclosure under the applicable Public Officers Law. The Companies do not believe that EDF's suggestions for additional information, technical conferences, and other procedural steps would provide a clear incremental benefit to the existing process compared to the incremental burden of cost and time.

Q. What does EDF recommend regarding the New York Facilities System ("NYFS")?

A. EDF recommends (at 19-20) that the Commission initiate a proceeding to formalize the planning assumptions of the NYFS and integrate into the more general downstate energy planning process of the NYFS members.

Q. Do you agree?

A. No. The Companies note that the Commission has reviewed various aspects of the NYFS through prior rate proceedings as well as other Commission proceedings, including the review of the NYFS agreement in Case 18-G-0318. The Companies do not believe that an additional proceeding or other formal procedure will add value to the existing venues for review of the NYFS.

VI. Conclusion

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.